



Our ref: IM-72765

Land of the Ngunnawal people
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30 January 2025

Dear Interested Party

Re: ACCC seeking your views: Pace Farm's proposed acquisition of Kinross Farms

The Australian Competition and Consumer Commission (**ACCC**) is seeking your views on Pace Farm Pty Ltd's (**Pace Farm**) proposed acquisition of Kinross Farm Pty Ltd (**Kinross Farms**) (**Proposed Acquisition**).

Pace Farm and Kinross Farms are both suppliers of shell eggs and egg products in Australia and are active across multiple levels of the egg production supply chain.

Further details regarding the Proposed Acquisition and the parties are provided at **Attachment A**.

The ACCC's investigation will focus on the impact of the Proposed Acquisition on competition in Australia. In particular, we are seeking your views on:

- the closeness of competition between Pace Farm and Kinross Farms in the supply of shell eggs and egg products
- the availability of alternative suppliers of shell eggs and egg products, and
- any impact of the Proposed Acquisition on the acquisition of inputs required for the supply of shell eggs or egg products.

Further issues you may wish to address are set out in **Attachment B**.

This matter is public and you can forward this letter to anybody who may be interested. Please note the ACCC has not yet formed a view as to the nature and extent of any competition concerns arising from the Proposed Acquisition.

The legal test which the ACCC applies in considering the Proposed Acquisition is in section 50 of the *Competition and Consumer Act 2010*. Section 50 prohibits acquisitions that are likely to have the effect of substantially lessening competition in a market.

Please provide your response by 5pm on 13 February 2025 via email with the title: *Submission re: Pace Farm / Kinross Farms*. If you require more time to respond, please let us know.

If you would like to arrange a time to discuss the matter with ACCC officers, or have any questions about this letter, please contact mergers@acc.gov.au. Updates regarding the

ACCC's investigation will be available on the ACCC's Public Mergers Register at ([ACCC mergers register](#)).

Confidentiality of submissions

The ACCC treats sensitive information it receives during a merger review as confidential, and will not publish your submission. We will not disclose submissions to third parties (except our advisors/consultants) unless compelled by law (for example, under freedom of information legislation or during court proceedings) or in accordance with s155AAA of the Competition and Consumer Act 2010. Where the ACCC is required to disclose confidential information, we will notify you in advance where possible so that you have an opportunity to be heard. Therefore please clearly indicate if any information you provide is confidential. Our [Informal Merger Review Process Guidelines](#) contain more information on confidentiality.

Yours sincerely

A handwritten signature in blue ink, appearing to be 'SP', located below the 'Yours sincerely' text.

Simon Pomery
Acting General Manager
Merger Investigations

Attachment A – Overview of the merger parties and the Proposed Acquisition

The Proposed Acquisition

Pace Farm proposes to acquire the business and assets of Kinross Farms, including its chick rearing and egg laying farms, and its egg production and grading facilities.

Pace Farm

Pace Farm is a New South Wales (**NSW**) based supplier of eggs and egg products and is active across different levels of the egg supply chain.

Pace Farm acquires:

- contracted sites for the rearing of chicks
- chicks from third party suppliers, and
- shell eggs from third party producers.

Pace Farm supplies:

- shell eggs, which are whole fresh eggs that are boxed and sold based on weight and farming type (for example, free range, barn, caged, and organic eggs),
- egg products, including:
 - egg products such as peeled boiled eggs, fresh pasteurised whole eggs, egg whites and egg white mix, and fresh egg yolk
 - frozen products such as pasteurised whole eggs, scramble egg mix, pasteurised yolk and egg white, and egg white mix, and
 - dried products including whole egg powder, egg yolk powder, and egg white powder.

Egg production facilities owned or used by Pace Farm include:

- 7 rearing facilities (3 owned sites, and 4 contracted sites operated by independent farmers) in Wattle Ridge, Griffith, Maraylya and Mountainview and 3 additional contracted sites
- 27 production facilities (10 owned or leased sites, and 17 contracted sites operated by independent farmers) at Buchanan, Cobark, Corowa, Kelso Park, Libreri, Morella, Parkwood, Scone and Terrace, and 1 production facility in the ACT
- 4 grading facilities in Buchanan, West Wyalong, Sydney and Macgregor
- 1 feed mill in Buchanan, NSW, and
- 1 liquid egg and further processing plant in Sydney.

Kinross Farms

Kinross Farms is a family-owned egg farming business located in Victoria.

Kinross Farms acquires:

- contracted sites for the rearing of chicks, and
- chicks from third party suppliers.

Kinross Farms supplies:

- shell eggs (including free range and barn laid eggs)
- egg products, namely fresh and frozen liquid egg products, and
- fertilised eggs, which are sold in batches for use in the manufacture of vaccines and for research and development.

Facilities owned or used by Kinross Farms in its egg production operations in Victoria include:

- 3 rearing facilities that are owned by Kinross Farms and located in Carisbrook, Euroa and Kinglake
- 11 production facilities (5 owned sites, and 6 contracted sites operated by independent farmers)
- 2 grading facilities that are owned by Kinross Farms and located in Euroa and Kinglake
- 1 liquid egg plant that is owned by Kinross Farms and located in Kinglake
- 2 incubation plants that are owned by Kinross Farms and located in Kinglake and Euroa, and
- 1 feed mill that is owned by Kinross Farms and located in Kinglake.

Egg production supply chain

Below is an overview of the egg production supply chain. These activities can be undertaken in-house or contracted out to third parties.

1. Supply of chicks

Egg suppliers can hatch their own day-old chicks or acquire these from third parties.

2. Rearing of chicks

Day-old (layer) chicks are delivered to egg producers and placed in specialised rearing sheds where they are nurtured until they reach the age of laying eggs (typically around 20 weeks), when they are moved to laying sheds.

A key input in this phase of production is feed. Many egg producers operate their own feed mills.

3. Egg laying

Laying hens are housed in laying sheds, where they are cared for while producing eggs.

4. Egg grading

Once an egg has been laid, it is then graded for defects and quality. This can be undertaken in-house or contracted out to third parties.

5. Egg processing

This step is relevant to egg products only. To produce egg products, additional processing is required, such as breaking the shell, separating whites and yolks, pasteurisation, possibly freezing or drying, and packaging. This can be undertaken in-house or contracted out to third parties.

6. Packaging and distribution

Shell eggs are packaged after grading.

Packaged shell eggs or egg products (other than those that are sold at the farm gate) are transported either directly to the customer (e.g. retailer / food manufacturer), or delivered to an intermediary wholesaler. The egg producer will typically arrange for delivery to a customer, with transportation generally provided by third party logistics operators.

Depending on the customer, egg producers will either deliver into a distribution centre or warehouse (as is common for supermarket customers) or directly to the customer's site (which is more likely where the customer is not supplied by a centralised warehouse network).

Eggs and egg products are then supplied to three main types of customers:

- *Retailers*: this includes supermarkets and other retailers.
- *Wholesale food service distribution companies*: this includes food service distribution companies, which acquire eggs from egg producers to supply to restaurants, cafes, and other out of home catering businesses (such as hospitals).
- *Food manufacturers*: this includes commercial food production businesses, which acquire egg products as inputs into food manufacturing processes.

Attachment B – List of questions

1. Please provide a brief description of your business and outline the reasons for your interest in the Proposed Acquisition, including any commercial relationship(s) with Pace Farm and/or Kinross Farms.

Questions for purchasers and suppliers of shell eggs

2. Who do you purchase shell eggs from and what factors influence your purchasing decisions? In your answer, you may wish to have regard to price, quality and/or transport time.
3. How closely do Pace Farm and Kinross Farms compete? How do they compare as suppliers of shell eggs? In your answer you may wish to consider price, quality and product range.
4. Please provide an outline of the alternative suppliers of shell eggs, and how they compare to Pace Farm and Kinross Farms. In your answer, you may wish to consider their relative size, product range, price and quality.
5. What are the typical trading terms for the purchasing of shell eggs (for example products supplied, contract length, exclusive supply arrangements).
6. How would you respond if the price of shell eggs increased by 5-10%? To what extent do customers have the ability to impose trading terms, exercise bargaining power, or credibly threaten to bypass suppliers of shell eggs?
7. What would be required for a company to begin supplying shell eggs? In your answer, you may wish to have regard to set up costs, regulatory and legal requirements, necessary scale, and the time required to enter or expand in these markets.

Questions for purchasers and suppliers of egg products

8. Who do you purchase egg products from and what factors influence your purchasing decisions? In your answer, you may wish to have regard to price, quality and/or transport time.
9. How closely do Pace Farm and Kinross Farms compete for the supply of egg products? In your answer you may wish to consider price, quality and product range (e.g. liquid or dried egg products).
10. Please provide an outline of the alternative suppliers of egg products, and how they compare to Pace Farm and Kinross Farms. In your answer, you may wish to consider their relative size, product range, price and quality.
11. If you are a supplier of egg products, please provide an overview of the cost and time involved in switching between the supply of different types of egg products (e.g. from supply of liquid egg products to dried)?
12. To what extent are imported egg products a viable alternative to the egg products supplied by Pace Farm and Kinross Farms?
13. What are the typical trading terms for the purchasing of egg products (for example products supplied, contract length, exclusive supply arrangements).

14. How would you respond if the price of egg products increased 5-10%? Please identify if there are any steps that you could take to try to resist such a price increase, for example, self-supply.
15. What would be required for a company to begin supplying egg products? In your answer, you may wish to have regard to set up costs, regulatory and legal requirements, necessary scale, and the time required to enter or expand in these markets.

Questions for suppliers of day-old chicks

16. Please provide an overview of who you supply chicks to. In your answer, please outline the distances that chicks are able to be transported and where your customers are typically located.
17. Who are your competitors in the supply of day-old chicks. How would these suppliers compare to you in terms of volumes supplied?
18. Please identify the main acquirers of day-old chicks in Australia, and how they would compare or compete with Pace Farm and Kinross Farms.
19. In your view, would the Proposed Acquisition be likely to lessen competition between acquirers of day-old chicks (in terms of price or other aspects of supply)?

Additional information

20. Please provide any additional information or comments that you consider relevant to the ACCC's consideration of the Proposed Acquisition.